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# TrueTracts-Style Market Analysis Implementation

## Overview

Transform the Market Analysis tab to match TrueTracts architecture: add
GAM (Generalized Additive Model) statistical analysis, interactive map
with polygon drawing, locational value heatmap, and multi-method
adjustment framework.

## Core Components

### 1. Python GAM Microservice

Create a Python-based statistical analysis service to handle GAM
computations:

**New Files:**

- `server/python/gam_service.py` - Flask/FastAPI microservice exposing GAM
  endpoints
- `server/python/requirements.txt` - Python dependencies (pyGAM, numpy,
  pandas, scipy)
- `server/python/spatial_analysis.py` - GAM spatial component calculator
  for heatmap
- `server/python/time_adjustment.py` - Non-linear time adjustment via GAM

**Key Implementation:**

- GAM model: log(price) ~ s(time) + s(lat, lng) + s(gla) + s(quality) +
  s(condition)
- Spatial smooth function s(lat, lng) produces the locational value
  layer
- API endpoints: /gam/fit, /gam/predict, /gam/heatmap

### 2. Database Schema Updates

Add PostGIS support for spatial queries:

**Files to Modify:**
```

- ``shared/schema.ts`` - Add GAM results types, heatmap data structures
- Run SQL migration to enable PostGIS extension

****New Types:****

```
```typescript
export interface GamModelResult {
 orderId: string;
 coefficients: Record<string, number>;
 smoothTerms: { time: number[][]; spatial: number[][]; };
 rsquared: number;
 aic: number;
 residuals: number[];
}

export interface HeatmapPoint {
 lat: number;
 lng: number;
 locationValue: number; // adjustment in $ or %
 confidence: number;
}
```
```

3. Interactive Map Implementation

Enhance ``client/src/components/map/MarketMap.tsx`` with full Leaflet integration:

****Changes:****

- Replace placeholder with actual Leaflet map using ``react-leaflet``
- Implement polygon drawing/editing with ``leaflet-draw``
- Add subject marker (red) and comp markers (blue)
- Real-time filtering: as user draws polygon, filter comps with PostGIS ``ST_Contains``
- Display heatmap layer with color gradient (red = premium, blue = discount)

****Key Libraries (already installed):****

```
- `leaflet` for base map
- `leaflet-draw` for polygon tools
- `@turf/turf` for client-side geospatial calculations

### 4. Market Analysis API Routes

Add new endpoints in `server/routes.ts`:

**New Endpoints:**

- `POST /api/orders/:id/market/gam/compute` - Trigger GAM analysis
- `GET /api/orders/:id/market/gam/results` - Get GAM model results
- `GET /api/orders/:id/market/heatmap` - Get heatmap grid data
- `POST /api/orders/:id/market/polygon` - Save user-drawn polygon
- `POST /api/orders/:id/market/filter` - Filter records by polygon (using PostGIS)

### 5. Enhanced Market Analysis UI

Update `client/src/pages/orders/[orderId]/market.tsx`:

**New Tabs/Sections:**

- Add "Locational Analysis" tab showing heatmap and spatial insights
- Update "Time Adjustments" tab to show GAM non-linear curve vs. linear comparison
- Add "Multi-Method Adjustments" section showing:
  - GAM-based adjustment
  - Depreciated Cost baseline
  - Peer adjustments (placeholder for now)
  - Sensitivity analysis

**Visualizations:**

- Non-linear time trend chart (GAM smooth curve)
- Comparison chart: GAM vs. Theil-Sen vs. OLS
- Heatmap legend with $ value scale
- Market area polygon with color-coded zones

### 6. Python Service Integration
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Add Node.js → Python bridge in `server/`:

****New Files:****

- `server/lib/gam-client.ts` - HTTP client to call Python GAM service
- Add Python service startup to development workflow

****Integration Pattern:****

```typescript

// Example usage

```
const gamResults = await callGamService('/gam/fit', {
 records: marketRecords,
 subjectLat: 30.267,
 subjectLng: -97.743
});
```
```

Implementation Priority

1. ****Python GAM Service**** - Core statistical engine (highest priority)
2. ****Database Schema**** - Add GAM result storage and PostGIS
3. ****Interactive Map**** - Polygon drawing and real-time filtering
4. ****API Routes**** - Connect front-end to GAM service
5. ****Heatmap Layer**** - Visualize spatial GAM component
6. ****UI Enhancements**** - Multi-method display and improved charts

Files to Create

- `server/python/gam\_service.py`
- `server/python/requirements.txt`
- `server/python/spatial\_analysis.py`
- `server/python/time\_adjustment.py`
- `server/lib/gam-client.ts`
- `migrations/add\_postgis.sql`

Files to Modify

- `client/src/components/map/MarketMap.tsx` (replace placeholder)

```
- `client/src/pages/orders/[orderId]/market.tsx` (add GAM features)
- `shared/schema.ts` (add GAM types)
- `server/routes.ts` (add GAM endpoints)
- `package.json` (add react-leaflet if needed)

## Technical Notes

- GAM computations are CPU-intensive; run Python service on separate process/container
- Heatmap should use grid interpolation (e.g., 50x50 grid over market area)
- Cache GAM results in database to avoid re-computation
- PostGIS spatial index on lat/lng for fast polygon filtering
- Use `pyGAM` library for GAM implementation (well-documented, stable)
```

8 To-dos • Done sequentially

+ New

- ☐ Create Python GAM microservice with Flask/FastAPI, pyGAM model, and API endpoints for fit/predict/heatmap
- ☐ Add GamModelResult and HeatmapPoint types to shared/schema.ts
- ☐ Create PostGIS migration and update database configuration
- ☐ Create server/lib/gam-client.ts HTTP client to communicate with Python service
- ☐ Add GAM-related API endpoints in server/routes.ts
- ☐ Replace MarketMap placeholder with full Leaflet implementation: polygon drawing, markers, real-time filtering
- ☐ Add heatmap visualization layer to MarketMap using GAM spatial component data
- ☐ Update market.tsx: add Locational Analysis tab, GAM vs linear comparison charts, multi-method adjustments display